Quanta Computer (2382 TT)

Target price: **TWD400.00** (from TWD480.00)

Share price (11 Nov): **TWD298.00** | Up/downside: **+34.2%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 review: AI server outlook remains largely on track

- Company guides AI server revenue to grow double-digits YoY in 2027
- Regular server units to also grow double-digits in 2027
- Reaffirming our Buy (1) rating; lowering 12-month TP to TWD400

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What's new: We review Quanta's 3Q26 results, released on 11 November.

What's the impact: 3Q26 results largely in line with expectations. Quanta's 3Q26 earnings came in at TWD28.4bn (EPS: TWD7.36), largely in line with our expectations. Revenue was TWD1.1tn (up 8% QoQ and 125% YoY); Quanta indicated notebook (9.6m; down 17% QoQ) and regular server shipments (up QoQ) to be key factors. Although AI server revenue also grew QoQ, it was driven mainly by rising ASP (shipments slightly down QoQ, due to the shipment schedule before VR200 ramp in 4Q26). As such, GM also fell by 0.2pp QoQ to 4.8%, on rising ASPs for both notebook (from memory price) and AI server shipments. OPM fell by 0.4pp QoQ to 2.9% on gross margin contraction and rising R&D expense before new AI model ramp. The bottom line was boosted by better-than-expected FX gains of TWD3.9bn and a slightly lower tax rate of 18.3%.

Business update. Overall, we believe the business outlook is largely unchanged from 2Q26, though Nvidia's new AI server (VR) is likely to gradually boost ASPs by 40-50% (previously not factored into our model). Quanta expects its AI server revenue to reach high-double-digit % YoY in 2027 (by 40-50% ASP and 20-30% rack shipment YoY growth along with rising AMD GPU AI server and ASIC AI server contribution, per our forecast). The company expects regular-server units to grow at least double-digits in 2027. Quanta also raised its guidance for 2H26 shipments, now expecting an increase HoH on solid agentic AI demand, as we previously expected. For notebooks, the company expects shipments to further decline double-digits QoQ seasonally in 4Q26 and track industry growth in 2027 (high-single-digit % to 10% YoY decline after the 15% YoY decline in 2026). With AI server ASPs rising from 1Q27 (when VR200 mass production is expected to begin), the company expects gross margin to gradually decline but aims to maintain the operating margin at the 2H26 level. We raise 2027-28E revenue by 23-37% to reflect the weaker-than-expected consignment business model, which will further dilute the gross margin but raise its top line. However, for operating profit and net income, we expect our previous forecast to be largely on track.

What we recommend: We raise our 2027-28E EPS by 8-10% to reflect higher-than-expected regular server shipments. We reiterate our Buy (1) call but lower our 12M TP to TWD400 (from TWD480) on a lower PER of 11x (prior: 15x; below the midpoint of its past-3-year range of 7-21x) applied to our 1-year forward EPS forecast, given weaker market sentiment. Downside risk: weaker-than-expected AI server shipments.

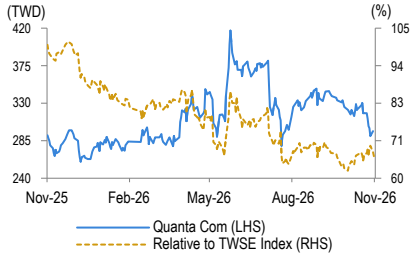
How we differ: Our 2027-28E EPS are 12-14% above street consensus, likely on our more positive outlook on Quanta's AI revenue strength.

Forecast revisions (%)

Year to 12 Dec	26E	27E	28E
Revenue change	0.6	23.3	36.7
Net profit change	(0.7)	8.0	10.3
Core EPS (FD) change	(0.7)	8.0	10.3

Source: Daiwa forecasts

Share price performance



12-month range	260.00-417.00
Market cap (USDbn)	34.92
3m avg daily turnover (USDm)	143.16
Shares outstanding (m)	3,863
Major shareholder	Chien-Yu Investment (14.8%)

Financial summary (TWD)

Year to 12 Dec	26E	27E	28E
Revenue (m)	4,138,260	6,980,196	8,933,332
Operating profit (m)	122,295	174,677	205,444
Net profit (m)	105,487	143,695	166,807
Core EPS (fully-diluted)	27.310	37.201	43.185
EPS change (%)	40.7	36.2	16.1
Daiwa vs Cons. EPS (%)	(0.2)	13.5	12.1
PER (x)	10.9	8.0	6.9
Dividend yield (%)	4.9	5.7	7.0
DPS	14.5	17.0	21.0
PBR (x)	3.9	3.1	2.5
EV/EBITDA (x)	10.8	7.8	6.7
ROE (%)	39.3	43.3	40.3

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

Flash

Quanta: Daiwa's revenue and earnings forecasts vs. consensus

(Consolidated)	2026E			2027E			2028E		
(TWDm)	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	4,113,481	4,138,260	4,075,501	5,661,452	6,980,196	5,404,928	6,536,362	8,933,332	6,561,025
Diff (%)		**0.6%**	**1.5%**		**23.3%**	**29.1%**		**36.7%**	**36.2%**
Gross margin (%)	4.8%	4.8%	4.9%	4.5%	4.1%	4.6%	4.4%	3.7%	4.4%
Operating profit	127,077	122,295	128,994	165,133	174,677	161,431	187,771	205,444	191,170
Operating margin (%)	3.1%	3.0%	3.2%	2.9%	2.5%	3.0%	2.9%	2.3%	2.9%
Net profit	106,238	105,487	105,684	133,064	143,695	126,645	151,219	166,807	148,838
EPS (TWD)	27.50	27.31	27.36	34.45	37.20	32.79	39.15	43.18	38.53
Diff (%)		**-0.7%**	**-0.2%**		**8.0%**	**13.5%**		**10.3%**	**12.1%**

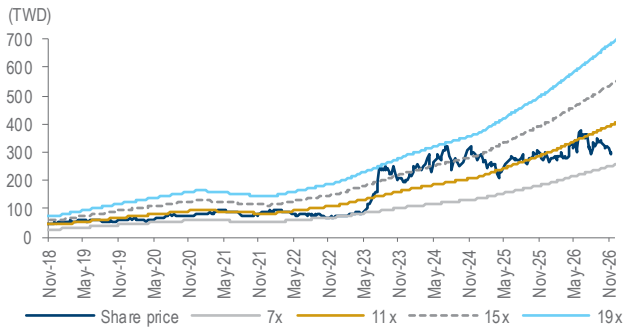
Source: Bloomberg, Daiwa forecasts

Quanta: quarterly and annual P&L highlights

	2026E				2027E							
(TWDm)	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	2025	2026E	2027E	2028E
Net revenue	**809,221**	**1,036,593**	**1,115,545**	**1,176,902**	**1,454,004**	**1,731,927**	**1,869,988**	**1,924,278**	**2,123,689**	**4,138,260**	**6,980,196**	**8,933,332**
COGS	(770,524)	(984,514)	(1,062,520)	(1,122,188)	(1,389,415)	(1,658,206)	(1,796,110)	(1,852,071)	(1,975,357)	(3,939,746)	(6,695,803)	(8,602,254)
Gross profit	**38,697**	**52,079**	**53,024**	**54,714**	**64,589**	**73,720**	**73,877**	**72,207**	**148,332**	**198,514**	**284,394**	**331,078**
Operating expenses	(15,673)	(17,835)	(20,821)	(21,890)	(24,718)	(27,711)	(28,424)	(28,864)	(60,936)	(76,219)	(109,717)	(125,634)
Operating profit	**23,024**	**34,244**	**32,204**	**32,823**	**39,871**	**46,009**	**45,454**	**43,342**	**87,396**	**122,295**	**174,677**	**205,444**
Non-operating profit	1,513	2,317	2,681	783	868	917	961	1,121	7,877	7,294	3,867	4,561
Pre-tax profit	**24,537**	**36,561**	**34,885**	**33,606**	**40,739**	**46,926**	**46,415**	**44,463**	**95,273**	**129,589**	**178,543**	**210,005**
Income taxes	(3,344)	(7,910)	(6,463)	(6,385)	(8,113)	(9,328)	(9,228)	(8,179)	(20,285)	(24,102)	(34,848)	(43,198)
Net profit	**21,192**	**28,651**	**28,422**	**27,221**	**32,626**	**37,598**	**37,187**	**36,284**	**74,988**	**105,487**	**143,695**	**166,807**
Net EPS (TWD)	**5.49**	**7.42**	**7.36**	**7.05**	**8.45**	**9.73**	**9.63**	**9.39**	**19.41**	**27.31**	**37.20**	**43.18**
Operating Ratios												
Gross margin	4.8%	5.0%	4.8%	4.6%	4.4%	4.3%	4.0%	3.8%	7.0%	4.8%	4.1%	3.7%
Operating margin	2.8%	3.3%	2.9%	2.8%	2.7%	2.7%	2.4%	2.3%	4.1%	3.0%	2.5%	2.3%
Pre-tax margin	3.0%	3.5%	3.1%	2.9%	2.8%	2.7%	2.5%	2.3%	4.5%	3.1%	2.6%	2.4%
Net margin	2.6%	2.8%	2.5%	2.3%	2.2%	2.2%	2.0%	1.9%	3.5%	2.5%	2.1%	1.9%
YoY (%)												
Net revenue	67%	106%	125%	84%	80%	67%	68%	64%	51%	95%	69%	28%
Gross profit	1%	47%	56%	35%	67%	42%	39%	32%	34%	34%	43%	16%
Operating profit	-6%	68%	75%	37%	73%	34%	41%	32%	42%	40%	43%	18%
Pre-tax profit	-3%	69%	67%	22%	66%	28%	33%	32%	30%	36%	38%	18%
Net profit	9%	70%	73%	23%	54%	31%	31%	33%	26%	41%	36%	16%
QoQ (%)												
Net revenue	27%	28%	8%	6%	24%	19%	8%	3%				
Gross profit	-4%	35%	2%	3%	18%	14%	0%	-2%				
Operating profit	-4%	49%	-6%	2%	21%	15%	-1%	-5%				
Pre-tax profit	-11%	49%	-5%	-4%	21%	15%	-1%	-4%				
Net profit	-5%	35%	-1%	-4%	20%	15%	-1%	-2%				

Source: Company, Daiwa forecasts

Quanta: 1-year forward PER bands



Source: TEJ, Daiwa forecasts

Quanta: 4Q26, 2026 and 2027 guidance

	3Q26	4Q26E	2026E	2027E
Product mix				
Server	>80% of total revenue	n.a.	80-85% of total revenue	85-90% of total revenue
AI server	75-80% of server revenue	n.a.	75-80% of server revenue (60-65% of total revenue)	>80% of server revenue
Notebook	n.a.	n.a.	n.a.	Single-digit % of total revenue
EV	n.a.	n.a.	n.a.	n.a.
Shipment/Revenue				
Server	Revenue QoQ increase	Revenue QoQ increase	n.a.	Double-digit increase YoY
AI server	Revenue QoQ increase	Revenue QoQ increase	>100% increase YoY (exceed doubling target)	High-double-digit increase YoY
General server	Shipment & ASP QoQ increase	Shipment QoQ increase	YoY growth better than previously expected	Double-digit increase YoY
Notebook (shipment)	16.5% QoQ decrease	Double-digit QoQ decrease	decrease 15-20% YoY	High-single-digit~ 10% decrease YoY
EV	n.a	n.a.	n.a.	n.a

Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 12 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
NB shipment (k)	75,300.0	57,700.0	46,900.0	45,800.0	46,500.0	39,740.0	37,462.3	36,687.6
AI server shipment (k)	10.2	20.2	18.8	54.2	36.2	2.0	2.0	2.0
NVL72 shipment (k)	0.0	0.0	0.0	0.0	8.1	23.9	28.4	32.1

Profit and loss (TWDm)

Year to 12 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Notebook	593,612	616,160	453,817	471,085	489,249	463,996	488,670	439,425
Cloud	442,774	585,228	580,285	917,231	1,610,480	3,647,858	6,460,834	8,461,636
Other Revenue	93,067	79,042	51,509	22,439	23,961	26,406	30,692	32,271
Total Revenue	**1,129,453**	**1,280,429**	**1,085,611**	**1,410,756**	**2,123,689**	**4,138,260**	**6,980,196**	**8,933,332**
Other income	0	0	0	0	0	0	0	0
COGS	(1,057,343)	(1,209,515)	(1,000,728)	(1,299,996)	(1,975,357)	(3,939,746)	(6,695,803)	(8,602,254)
SG&A	(16,187)	(18,389)	(18,045)	(20,275)	(23,767)	(30,974)	(48,882)	(58,413)
Other op.expenses	(18,646)	(21,336)	(23,294)	(28,863)	(37,169)	(45,244)	(60,835)	(67,221)
Operating profit	**37,278**	**31,190**	**43,544**	**61,622**	**87,396**	**122,295**	**174,677**	**205,444**
Net-interest inc./(exp.)	1,273	648	1,705	2,454	(1,920)	(7,939)	(7,953)	(8,327)
Assoc/forex/extraord./others	4,886	8,944	6,477	9,090	9,796	15,233	11,820	12,888
Pre-tax profit	**43,437**	**40,781**	**51,726**	**73,167**	**95,273**	**129,589**	**178,543**	**210,005**
Tax	(9,077)	(11,058)	(11,243)	(12,884)	(19,487)	(23,472)	(34,149)	(42,518)
Min. int./pref. div./others	(707)	(765)	(812)	(581)	(799)	(630)	(699)	(679)
Net profit (reported)	**33,653**	**28,958**	**39,671**	**59,702**	**74,988**	**105,487**	**143,695**	**166,807**
Net profit (adjusted)	**33,653**	**28,958**	**39,671**	**59,702**	**74,988**	**105,487**	**143,695**	**166,807**
EPS (reported)(TWD)	**8.713**	**7.497**	**10.270**	**15.456**	**19.414**	**27.310**	**37.201**	**43.185**
EPS (adjusted)(TWD)	**8.713**	**7.497**	**10.270**	**15.456**	**19.414**	**27.310**	**37.201**	**43.185**
EPS (adjusted fully-diluted)(TWD)	**8.713**	**7.497**	**10.270**	**15.456**	**19.414**	**27.310**	**37.201**	**43.185**
DPS (TWD)	**5.243**	**6.734**	**6.152**	**9.000**	**13.000**	**14.500**	**17.000**	**21.000**
EBIT	**37,278**	**31,190**	**43,544**	**61,622**	**87,396**	**122,295**	**174,677**	**205,444**
EBITDA	**45,603**	**41,293**	**54,981**	**73,301**	**99,837**	**132,890**	**187,589**	**220,031**

Cash flow (TWDm)

Year to 12 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	43,437	40,781	51,726	73,167	95,273	129,589	178,543	210,005
Depreciation and amortisation	8,325	10,103	11,437	11,678	12,441	10,595	12,912	14,587
Tax paid	(9,077)	(11,058)	(11,243)	(12,884)	(19,487)	(23,472)	(34,149)	(42,518)
Change in working capital	(75,616)	(63,213)	80,499	(134,831)	(122,316)	(208,613)	(95,997)	(95,784)
Other operational CF items	9,138	34,802	(7,421)	23,354	23,724	0	0	0
Cash flow from operations	**(23,792)**	**11,416**	**124,997**	**(39,516)**	**(10,365)**	**(91,901)**	**61,310**	**86,289**
Capex	(11,538)	(16,892)	(8,832)	(13,132)	(14,757)	(28,968)	(20,941)	(17,867)
Net (acquisitions)/disposals	(72)	(19)	(506)	(1,057)	(1,306)	0	0	0
Other investing CF items	25,146	2,768	(28,274)	1,899	7,726	0	0	0
Cash flow from investing	**13,536**	**(14,143)**	**(37,612)**	**(12,290)**	**(8,338)**	**(28,968)**	**(20,941)**	**(17,867)**
Change in debt	(12,532)	58,481	(87,309)	65,689	86,229	0	58,276	50,000
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(20,254)	(26,009)	(23,765)	(34,764)	(50,214)	(56,008)	(65,665)	(81,115)
Other financing CF items	(427)	(1,177)	(1,780)	(2,008)	2,749	0	0	0
Cash flow from financing	**(33,213)**	**31,295**	**(112,854)**	**28,917**	**38,764**	**(56,008)**	**(7,389)**	**(31,115)**
Forex effect/others	(1,644)	13,813	(1,940)	9,647	(5,744)	0	0	0
Change in cash	**(45,113)**	**42,381**	**(27,409)**	**(13,242)**	**14,318**	**(176,877)**	**32,981**	**37,308**
Free cash flow	(35,330)	(5,476)	116,165	(52,648)	(25,122)	(120,869)	40,369	68,423

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 12 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	177,375	214,499	218,726	201,099	202,628	25,751	58,731	96,039
Inventory	196,596	225,856	123,764	261,886	512,946	755,568	1,320,816	1,649,747
Accounts receivable	266,324	285,501	262,076	372,909	496,655	736,950	1,109,182	1,346,119
Other current assets	9,122	7,414	5,882	4,799	19,836	19,836	19,836	19,836
Total current assets	**649,417**	**733,270**	**610,448**	**840,694**	**1,232,064**	**1,538,105**	**2,508,565**	**3,111,741**
Fixed assets	52,223	63,225	60,820	67,061	72,970	91,343	99,371	102,651
Goodwill & intangibles	808	869	505	499	535	535	535	535
Other non-current assets	15,121	18,764	18,347	24,193	37,542	37,542	37,542	37,542
Total assets	**717,570**	**816,128**	**690,120**	**932,446**	**1,343,112**	**1,667,525**	**2,646,014**	**3,252,469**
Short-term debt	165,631	204,712	156,978	157,067	241,724	241,724	300,000	350,000
Accounts payable	229,941	213,514	168,322	282,782	535,232	809,537	1,651,020	2,121,104
Other current liabilities	125,149	210,365	157,712	198,850	237,199	237,199	237,199	237,199
Total current liabilities	**520,721**	**628,591**	**483,013**	**638,699**	**1,014,155**	**1,288,460**	**2,188,219**	**2,708,303**
Long-term debt	22,675	4,525	5,931	50,983	56,579	56,579	56,579	56,579
Other non-current liabilities	6,046	6,489	7,284	12,459	16,633	16,633	16,633	16,633
Total liabilities	**549,442**	**639,605**	**496,228**	**702,141**	**1,087,367**	**1,361,672**	**2,261,431**	**2,781,515**
Share capital	38,626	38,626	38,626	38,626	38,626	38,626	38,626	38,626
Reserves/R.E./others	122,513	130,532	147,581	183,660	204,951	254,430	332,460	418,152
Shareholders' equity	**161,139**	**169,158**	**186,207**	**222,286**	**243,577**	**293,056**	**371,086**	**456,778**
Minority interests	6,988	7,365	7,685	8,020	12,167	12,797	13,497	14,176
Total equity & liabilities	**717,570**	**816,128**	**690,120**	**932,446**	**1,343,112**	**1,667,525**	**2,646,014**	**3,252,469**
EV	1,168,981	1,153,166	1,102,932	1,166,034	1,258,906	1,436,413	1,462,407	1,475,779
Net debt/(cash)	**10,930**	**(5,262)**	**(55,817)**	**6,951**	**95,675**	**272,552**	**297,848**	**310,540**
BVPS (TWD)	**41.718**	**43.794**	**48.207**	**57.548**	**63.060**	**75.870**	**96.071**	**118.256**

Key ratios (%)

Year to 12 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	3.5	13.4	(15.2)	30.0	50.5	94.9	68.7	28.0
EBITDA (YoY)	12.4	(9.5)	33.2	33.3	36.2	33.1	41.2	17.3
Operating profit (YoY)	14.9	(16.3)	39.6	41.5	41.8	39.9	42.8	17.6
Net profit (YoY)	32.9	(14.0)	37.0	50.5	25.6	40.7	36.2	16.1
Core EPS (fully-diluted) (YoY)	32.9	(14.0)	37.0	50.5	25.6	40.7	36.2	16.1
Gross-profit margin	6.4	5.5	7.8	7.9	7.0	4.8	4.1	3.7
EBITDA margin	4.0	3.2	5.1	5.2	4.7	3.2	2.7	2.5
Operating-profit margin	3.3	2.4	4.0	4.4	4.1	3.0	2.5	2.3
Net profit margin	3.0	2.3	3.7	4.2	3.5	2.5	2.1	1.9
ROAE	22.0	17.5	22.3	29.2	32.2	39.3	43.3	40.3
ROAA	4.9	3.8	5.3	7.4	6.6	7.0	6.7	5.7
ROCE	10.6	8.4	11.7	15.5	17.6	21.1	26.0	25.4
ROIC	20.6	13.0	22.0	27.1	23.6	21.5	22.4	22.4
Net debt to equity	6.8	n.a.	n.a.	3.1	39.3	93.0	80.3	68.0
Effective tax rate	20.9	27.1	21.7	17.6	20.5	18.1	19.1	20.2
Accounts receivable (days)	75.6	78.7	92.1	82.1	74.7	54.4	48.3	50.2
Current ratio (x)	1.2	1.2	1.3	1.3	1.2	1.2	1.1	1.1
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	45.5	15.4	22.0	24.7
Net dividend payout	80.0	77.3	82.1	87.6	84.1	74.7	62.2	56.4
Free cash flow yield	n.a.	n.a.	10.1	n.a.	n.a.	n.a.	3.5	5.9

Source: FactSet, Daiwa forecasts

Company profile

Established in 1988 and listed on the Taiwan Stock Exchange in 1999, Quanta Computer (Quanta) is the world's largest notebook ODM in terms of revenue. In addition to notebook PCs, Quanta entered the cloud-computing-related data centre server business and has established relationships with key clients such as Facebook and Google.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	Quanta's board consists of 7 directors, including 3 independent directors and a female director with financial expertise. Quanta held 7 board meetings in 2025 with an average actual attendance rate of 98%, with all directors achieving 100% attendance except for one director (85.7%). The independent directors have backgrounds with expertise in accounting, finance and management. The company has established a "Sustainable Development Steering Committee" to coordinate matters related to the corporation's sustainable development. Its ESG affairs are regularly reported to the board of directors every quarter.
	Capital management	2	Quanta declared a DPS of TWD15.6 in 2025, which was a record high and represented a payout ratio of 80%. The payout ratio in 2025 was broadly in line with the 76-80% reported during 2020-22, but lower than the 84% in 2024 and 89-91% reported during 2016-19. As a leading global manufacturer of notebooks, servers and other electronics hardware, Quanta has delivered solid revenue and profit growth over the past few years, led by high growth in its high-margin businesses including AI servers. In addition, the company's strong profitability and cash generation should support high dividend pay-outs.
	Related party & transaction	1	Revenue from related parties accounted for 0.02% of its total 2025 revenue, with no reported purchases from related parties during the year. As such, we see limited risks from related-party transactions.
S	Supply chain management	2	Quanta has established complete management strategies and goals of supply chain management, including assessing suppliers' past records, establishing a composite supply chain and conducting periodic factory visits and audits. As of end-2025, 99.9% of required new supplier audits had been completed across its six reporting sites. In 2025, five sites achieved a 100% audit completion rate, while the Mexico site achieved 92.3%, with two supplier audits still in progress. In addition, Quanta annually conducts CSR risk identification and classification based on its suppliers' risk profiles and sustainability performance. Quanta also uses Responsible Business Alliance (RBA) regulations as a basis to manage suppliers and conducts annual CSR audits of important suppliers. In 2025, a total of 238 suppliers completed CSR audits, including 177 Tier 1 and Tier 2 material suppliers and 61 service suppliers.
S	Labor practices	2	Quanta formulated its "labour and human rights policies" based on the international labour human rights norms it supports and respects. The policies include no forced labour risk and management, working hours management and non-discrimination risk and management.
E	Product design & lifecycle management	2	Its "Green Product Committee" manages green product design and production and keeps up with the latest international electronic product chemical substance specifications. Quanta heavily invests in innovative eco-friendly designs to reduce resource consumption from producing multiple different machines.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 11 Nov 2026
Source: Daiwa, Company

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